

FEDERAL MARITIME COMMISSION

REVOCATION OF OCEAN
TRANSPORTATION INTERMEDIARY
LICENSE NO. 017843 – WASHINGTON
MOVERS, INC.

Docket No. 15-10

Served: March 16, 2018

BY THE COMMISSION: Rebecca F. DYE and Daniel B. MAFFEI, *Commissioners*. Michael A. KHOURI, *Acting Chairman*, concurring.

Order Affirming Revocation of Ocean Transportation Intermediary License No. 017843

On June 29, 2017, a Commission Administrative Law Judge (ALJ) issued an Initial Decision revoking Washington Movers, Inc.'s ocean transportation intermediary (OTI) license. Washington Movers filed exceptions to this decision. For the reasons set forth below, we affirm the revocation of Washington Movers' License No. 017843 and order Washington Movers to cease and desist all OTI activities.

I. BACKGROUND

A. Factual Background

1. Incorporation and Name Change

Washington Movers is an OTI that was incorporated in 1996. *Revocation of Ocean Transp. Intermediary License No. 017843 – Washington Movers, Inc.*, 34 S.R.R. 912, 914, 924 (ALJ 2017) [hereinafter ALJ I.D.]. From the time of incorporation to 2013, Sam Ghanem served as Washington Movers’ owner and president. ALJ I.D. at 2, 4, 17, 19. Washington Movers applied for an OTI license in 2003, identifying Sam Ghanem as its proposed “qualifying individual.” ALJ I.D. at 2, 17; BOE Ex. 36 at ix. The Commission granted Washington Movers an OTI license in April 2003. ALJ I.D. at 2, 17.¹ In November 2008, Washington Movers changed its name from “Washington Movers, Inc.” to “Washington Movers International, Inc.” ALJ I.D. at 2, 18.

2. Criminal Conduct and Legal Proceedings

According to an FBI affidavit in support of a criminal complaint, in March 2013 Sam Ghanem met with a former Washington Movers employee who was working as an FBI informant. ALJ I.D. at 3, BOE Ex. 1, Aff. at 2-3. Mr. Ghanem assisted the informant in shipping a vehicle concealing “money” to Lebanon.² BOE Ex. 1, Aff. at 2-4.

Several months later, the affidavit states, Mr. Ghanem and the informant discussed shipping weapons for some of the informant’s associates. BOE Ex. 1, Aff. at 4. The informant asked Mr. Ghanem

¹ Washington Movers was initially licensed to operate as an ocean freight forwarder. ALJ I.D. at 2, 17; BOE Ex. 8 ¶ 6. In 2005, the Commission authorized Washington Movers to operate as a non-vessel-operating common carrier. ALJ I.D. at 2, 17; BOE Ex. 8 ¶ 6.

² The “money” was actually bundles of paper made to resemble \$100,000 and secreted inside the vehicle by law enforcement agents. BOE Ex. 1, Aff. at 3.

if weapons could be shipped in a container with salvaged vehicles, and Mr. Ghanem indicated that they could, because the salvaged vehicle parts would help conceal the weapons from detection. Following further discussions, Mr. Ghanem purchased salvaged vehicles and had them dismantled in order to ship them in a container with the weapons. *Id.* at 5-7. He also used Washington Movers to make arrangements to ship the container to Lebanon. ALJ I.D. at 3, 18. On Saturday, December 21, 2013, while at the Washington Movers facility, Mr. Ghanem and some (unnamed) employees concealed the informant's weapons in vehicle parts that were then loaded into a shipping container.³ ALJ I.D. at 3, 18; BOE Ex. 1, Aff. at 8. Mr. Ghanem advised the informant that the container would be transported to Baltimore for shipment overseas. BOE Ex. 1, Aff. at 8. After the container was loaded, law enforcement agents arrested Mr. Ghanem. ALJ I.D. at 3, 18.

Soon after Mr. Ghanem's arrest, a federal grand jury indicted him for attempting to smuggle weapons to Lebanon. ALJ I.D. at 5. On May 1, 2015, a jury found Mr. Ghanem guilty of attempted unlawful export of defense articles under 22 U.S.C. § 2778 and smuggling of goods from the United States under 18 U.S.C. § 554. ALJ I.D. at 5, 19. The court subsequently sentenced Mr. Ghanem to eighteen months in prison, ALJ I.D. 5, 19; BOE. Ex. 2 at 1-2, and he voluntarily surrendered in October 2015, ALJ I.D. at 24. Mr. Ghanem was released from prison on January 20, 2017. ALJ I.D. at 26.

3. Washington Movers' Post-Arrest Operations

Norma Ghanem, Sam Ghanem's wife, was unaware of her husband's plans to ship weapons. ALJ I.D. at 4, 28. When she returned to Washington Movers' facility the week after Mr. Ghanem's arrest, the company's computers and files were gone and

³ Law enforcement agents provided the informant with the weapons, which had been rendered inert. BOE Ex. 1, Aff. at 8.

its money was seized. ALJ I.D. at 4. At the time, Washington Movers had over 35 shipments either aboard vessels or arrived at destinations. ALJ I.D. at 4. Once Norma Ghanem located the shipments, she paid the carriers to release the shipments to Washington Movers' clients. ALJ I.D. at 4. To do so, she used life insurance money, her children's tuition money, proceeds from selling gold, and loans from family. ALJ I.D. at 4, 28.

Meanwhile, the Ghanems attempted to distance Washington Movers the corporation from Sam Ghanem. ALJ I.D. at 4. On December 31, 2013, Sam Ghanem transferred his entire ownership interest in Washington Movers to his wife, who had worked for the company for around twenty years in communications and accounting. ALJ I.D. at 4, 19; Hr'g Tr. at 6-8. The next day, January 1, 2014, the Ghanems, as Washington Movers' stockholders and directors, executed a "Unanimous Written Consent in Lieu of Meeting of Directors" wherein (a) the Ghanems approved the transfer of shares between Sam and Norma Ghanem; (b) Sam Ghanem resigned as an officer and director of Washington Movers; and (c) Norma Ghanem was appointed sole officer (president, secretary, and treasurer) and director of Washington Movers. ALJ I.D. at 4, 19; WM Ex. B.

Despite these maneuverings, Sam Ghanem remained involved with the company after his arrest, though Norma Ghanem testified that she did everything for the company since becoming president in January 2014. Hr'g Tr. at 6. For instance, in June 2014, Sam Ghanem signed Washington Movers' Virginia State Corporation Commission 2014 Annual Report, which listed him as an officer, director, and registered agent of the company. ALJ I.D. at 5, 20. In addition, Mr. Ghanem was an authorized signatory for various Washington Movers bank accounts from 2014-2016. ALJ I.D. at 5, 22. Moreover, on June 10, 2015, after he was convicted and before he was sentenced, Sam Ghanem signed Washington Movers' 2013 and 2014 federal tax returns as president of the company. ALJ I.D. at 5, 25. And Mr. Ghanem requested to delay his voluntary surrender to prison on the grounds that "my company is currently undergoing

major changes, such as changing the ownership” and that he needed more time to train and otherwise onboard his new partner. ALJ I.D. at 21-22.⁴

Mr. Ghanem also remained involved with Washington Movers’ OTI activities. Washington Movers continued to employ him, and he acted on its behalf, despite Norma Ghanem’s testimony that he stopped working for the company as of January 2014. ALJ I.D. at 24. Throughout 2014 and 2015, Mr. Ghanem wrote checks against Washington Movers’ bank accounts and negotiated and signed Washington Movers’ service contracts with ocean carriers. ALJ I.D. at 5, 22-26.⁵

B. Procedural History

The Commission first learned of Sam Ghanem’s legal troubles on October 28, 2014, when the FBI contacted the Commission’s Bureau of Certification and Licensing (BCL) about Washington Movers’ OTI license. ALJ I.D. at 20. On October 8, 2015, after Ghanem had been convicted and sentenced, the Commission issued an Order to Show Cause directing Washington Movers to show cause why its OTI license should not be revoked due to Ghanem’s convictions and alleged violations of Commission regulations. Washington Movers responded to the order, and the Commission’s Bureau of Enforcement (BOE) replied. Additionally, Norma Ghanem moved to intervene in the revocation proceeding.

On February 12, 2016, the Commission denied Norma Ghanem’s motion to intervene and assigned this matter to the Office

⁴ Mr. Ghanem’s letter to the court does not, however, indicate whether the company at issue was Washington Movers or some other business. ALJ I.D. at 5 n.5, 21-22.

⁵ Norma Ghanem testified that she was unaware that he was signing service contracts during this time frame. Hr’g Tr. at 16-17.

of Administrative Law Judges. The parties engaged in discovery, and the ALJ held an oral hearing at which Norma Ghanem testified. The parties also submitted post-hearing briefs.

The ALJ issued an Initial Decision revoking Washington Movers’ OTI license on June 29, 2017. The ALJ found that grounds for revocation existed under the 2015 version of 46 C.F.R. § 515.16(a)(1) and (4). The ALJ also rejected Washington Movers’ defenses, which sought to ascribe the corporation’s problems to Sam Ghanem, who Washington Movers claimed was no longer involved with the company. Although the ALJ emphasized that Norma Ghanem did a commendable job handling Washington Movers’ business in the aftermath of Sam Ghanem’s arrest, the ALJ nonetheless determined that revocation was an appropriate sanction for Washington Movers’ participation in criminal activities and violation of Commission regulations.

Washington Movers timely filed exceptions to the Initial Decision, and BOE replied.

II. DISCUSSION

A. Standard of Review and Burden of Proof

In reviewing an initial decision, the Commission has “all the powers which it would have in making the initial decision.” 46 C.F.R. § 502.227(a)(6). The Commission therefore reviews the ALJ’s decision de novo and may enter its own findings. *Santa Fe Discount Cruise Parking, Inc. v. Bd. of Trs. of the Galveston Wharves*, 34 S.R.R. 600, 607 (FMC 2017). Here, the ALJ made 111 findings of fact. The record supports these findings, and neither party challenges them. We therefore adopt the ALJ’s factual findings.

In order-to-show-cause revocation proceedings, the burden of proof is on BOE. *Revocation of Ocean Transp. Intermediary License No. 022025 – Cargologic USA LLC*, 33 S.R.R. 666, 669

(FMC 2014); 5 U.S.C. § 556(d); 46 C.F.R. § 502.203. The standard of proof is preponderance of the evidence. *Sea-Land Serv., Inc. – Possible Violations of the Shipping Act*, 30 S.R.R. 872, 882 (FMC 2006).

B. Grounds for Revocation

The Shipping Act gives the Commission the authority to grant, suspend, and revoke ocean transportation intermediary licenses. *See* 46 U.S.C. §§ 40901(a), 40903. Under the regulations in effect when the Commission issued its Order to Show Cause to Washington Movers, the Commission may revoke or suspend an OTI license for any of the following reasons:

- (1) *Violation of any provision of the [Shipping] Act, or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary;*
- (2) Failure to respond to any lawful order or inquiry by the Commission;
- (3) Making a materially false or misleading statement to the Commission in connection with an application for a license or an amendment to an existing license;
- (4) *Where the Commission determines that the licensee is not qualified to render intermediary services; or*
- (5) Failure to honor the licensee’s financial obligations to the Commission.

46 C.F.R. § 515.16(a) (2015) (emphasis added).

The ALJ revoked Washington Movers’ license based on the “violation” and “qualification” subsections of the regulation, § 515.16(a)(1) and (4) (2015), respectively. ALJ I.D. at 33-34, 39. Although we disagree with the ALJ in one minor respect, we agree that grounds for revocation exist under those subsections.

1. Violation of OTI-related Law [46 C.F.R. § 515.16(a)(1) (2015)]

The ALJ found that Washington Movers violated four statutes or Commission regulations “related to carrying on the business of an ocean transportation intermediary” under 46 C.F.R. § 515.16(a)(1) (2015): (a) it violated 22 U.S.C. § 2778 and 18 U.S.C. § 554 regarding Sam Ghanem’s weapons-shipping activities; (b) it violated 46 C.F.R. § 515.18(a)(5) (2015) by failing to notify the Commission of its corporate name change; and (c) it violated 46 C.F.R. § 515.12(d) (2015) by failing to notify the Commission of Sam Ghanem’s arrest, indictment, conviction, and sentencing. ALJ I.D. at 33-34, 39.

a. *Violation of 22 U.S.C. § 2778 and 18 U.S.C. § 554*

The ALJ concluded that Washington Movers “participated in Sam Ghanem’s criminal activities,” that Mr. Ghanem’s felony convictions were violations of statutes related to carrying on the business of an OTI, and, further, that “a preponderance of the evidence proves Washington Movers violated statutes related to carrying on the business of an ocean transportation intermediary.” ALJ I.D. at 33-34; *see also id.* at 35 (“As the discussion above makes clear, Washington Movers itself was involved in Sam Ghanem’s activity.”).⁶ The ALJ reasoned that the fact that “the United States Attorney chose not to include Washington Movers as a defendant in the criminal action . . . [is] irrelevant to the question of whether the Commission may sanction Washington Movers and revoke its

⁶ The statutes at issue are 18 U.S.C. § 554 and 22 U.S.C. § 2778. ALJ I.D. at 19, WM Exc. at 3.

license for violations of the Shipping Act related to the criminal activity.” *Id.* at 35.

In its exceptions, Washington Movers argues that the ALJ erred in finding that it violated statutes related to carrying on OTI business, namely, 18 U.S.C. § 554 and 22 U.S.C. § 2778. WM Exc. at 3. It asserts that there was no evidence that it was convicted of violating these statutes and that the Commission “do[e]s not have jurisdiction to independently find that Washington Movers violated criminal statutes.” WM Exc. at 2-3. According to Washington Movers, “[t]hat finding must have been made by a district court; only then could the Commission and its administrative court conclude that Washington Movers violated a criminal statute related to shipping,” and in turn conclude that revocation was available under 46 C.F.R. § 515.16(a)(1) (2015). *Id.* at 3. Washington Movers cites in support Art. III, § 2, cl. 3 of the Constitution, 18 U.S.C. § 3231, and 5 U.S.C. §§ 556-557. *Id.* at 2.

BOE does not address this jurisdictional argument directly. Rather, it argues that revocation of a license under 46 C.F.R. § 515.16(a)(1) (2015) does not require a corporate OTI to have violated an OTI-related statute; it is sufficient under that regulation that Sam Ghanem, Washington Movers’ qualifying individual, violated the OTI-related statutes. BOE Reply at 4 (“[T]he Commission’s regulation enumerating grounds for revocation does not make the identity of a particular actor determinative of whether revocation is warranted.”); *see also id.* at 4-5 (asserting that character and qualifications of OTI are based on that of its qualifying individual, OTIs are responsible for acts of their employees and agents, and precedent on revocation does not require the conviction of a corporate entity).

The regulation at issue – 46 C.F.R. § 515.16(a) (2015) – does not specify *whom* must have violated a statute related to carrying on the business of an OTI for revocation to be an option. It is triggered by “violation of” a statute. § 515.16(a)(1) (2015). And while it is well-established that the Commission may consider the actions of an OTI’s qualifying individual in assessing the OTI’s experience and character, see 46 C.F.R. §§ 515.11(a)(1), (b), 515.13 (2015), the Commission precedent cited by BOE does not address the extent to which statutory violations by a corporate officer are attributable to a corporate OTI for purposes of § 515.16(a)(1) (2015).⁷ *See, e.g., Falcon Shipping, Inc. – Application for a License as an Ocean Transp. Intermediary*, 32 S.R.R. 382, 385 (FMC 2012) (denying license due to lack of requisite character, not violation of OTI-related statutes); *AAA Nordstar Line Inc. – Revocation of License No. 012234*, 29 S.R.R. 663, 664 (FMC 2002) (revoking license because licensee made materially false and misleading statements to Commission and failed to notify Commission of omissions and changes in material fact).⁸

We need not decide, however, the precise focus of § 515.16(a)(1) (2015) in this case, though it appears as if BOE may have the stronger case. *See* Advanced Notice of Proposed

⁷ Moreover, the regulations distinguish a corporate applicant or licensee from its officers. *See* 46 C.F.R. § 515.11(b), 515.12(a)(1), 515.14(b) (2015).

⁸ Although the Commission in *AAA Nordstar* did not ultimately revoke the license at issue due to the felony convictions of licensee’s officers, the Commission’s order to show cause in that case did suggest that that revocation might be possible due to those convictions. *Revocation of License No. 012234*, 29 S.R.R. 429, 431 (FMC 2001).

Rulemaking: Amendments to Regulations Governing Ocean Transportation Intermediary Licensing & Financial Responsibility Requirements & General Duties, 78 Fed. Reg. 32946, 32947 (May 31, 2013) (proposing to clarify that the licensing requirements “apply to the applicant as a whole, and, for that reason, require the Commission to consider the character of the principal owners and officers of applicants, as well as that of the QI”); *cf. Casanova Guns, Inc. v. Connally*, 454 F.2d 1320, 1322-23 (7th Cir. 1972) (affirming denial of firearms license renewal because applicant was controlled by felon corporation). Assuming Washington Movers is correct, and that the regulation is only triggered by a statutory violation by the licensee itself as opposed to its qualifying individual, the record supports the ALJ’s conclusion that Washington Movers violated statutes related to carrying on the business of an ocean transportation intermediary.⁹

As to Washington Movers’ jurisdictional argument, we agree that Washington Movers’ was not itself convicted under 18 U.S.C. § 554 and 22 U.S.C. § 2778. We also agree that the Commission’s jurisdiction is limited. *See, e.g., Trans-Pac. Freight Confer. of Japan v. Fed. Mar. Bd.*, 302 F.2d 875, 880 (D.C. Cir. 1962) (holding that agency can exercise only those powers

⁹ Section 515.16(a)(1) (2015) would also be triggered if we were to take BOE’s approach and focus the analysis on Sam Ghanem. Mr. Ghanem was and is Washington Movers’ qualifying individual, and he was the company’s president at the time of his felonious conduct. ALJ I.D. at 17, 19. There is no dispute that Mr. Ghanem violated 18 U.S.C. § 554 and 22 U.S.C. § 2778. *Id.* at 19. And Washington Movers does not challenge the ALJ’s conclusion that these statutes are statutes related to carrying on the business of an ocean transportation intermediary for purposes of § 515.16(a)(1) (2015).

conferred by Congress). And, as Washington Movers’ points out, the Constitution provides for jury trials for crimes, U.S. Const. art. III, § 2, cl. 3, and district courts, not the Commission or its ALJs, “have original jurisdiction, exclusive of the courts of the States, of all offenses against the laws of the United States,” 18 U.S.C. § 3231.¹⁰ As a consequence, Washington Movers is correct that the Commission cannot independently convict Washington Movers of a crime.

But that is not what the ALJ did. The ALJ did not find Washington Movers guilty of a felony or impose a criminal sanction. Nor did the ALJ purport to apply a criminal standard of proof. Rather, the ALJ found that “a preponderance of the evidence proves Washington Movers violated statutes related to carrying on the business of an ocean transportation intermediary.” ALJ I.D. at 34.

The ALJ had the authority to make this finding for purposes of revoking a license. The Commission can suspend or revoke OTI licenses. 46 U.S.C. § 40903; 46 C.F.R. § 515.16(a) (2015). Further, *Harris News Agency, Inc. v. Bowers*, 809 F.3d 411 (8th Cir. 2015), relied on by Washington Movers, suggests that in exercising this authority, the Commission may independently determine whether an OTI has violated a criminal statute. There, Harris News Agency (HNA) applied for a federal license to sell guns. *Id.* at 412. The regulations provided that an applicant for such a license must not have “willfully violated any of the provisions of [18 U.S.C. ch. 44].” *Id.* at 413. The U.S. Bureau of Alcohol, Tobacco, Firearms and

¹⁰ Washington Movers cites 5 U.S.C. §§ 556, 557 for the proposition that “the jurisdiction of the Federal Maritime Commission and its administrative court is limited.” WM Exc. at 2. These provisions do not, however, set forth the scope of the Commission’s authority.

Explosives (ATF) denied the application on finding that HNA's officers and co-owners willfully allowed a felon to possess firearms, thus violating 18 U.S.C. § 922(g)(1) (making it unlawful for a felon to possess a firearm) and 18 U.S.C. § 2(a) (aiding and abetting).¹¹ *Id.* HNA petitioned for review, and the district court agreed with the ATF. *Id.* at 413. The Eighth Circuit reversed, holding that the ATF misapplied the aiding-and-abetting statute. *Id.* at 413-14.

Significantly, the Eighth Circuit never suggested that the ATF lacked the authority to find that HNA's corporate officers violated the felon-in-possession statute because it was not a district court jury. The court held that the ATF erred in applying the statute, not that it lacked authority to do so. Although it does not appear that the appellants in *Harris News Agency* raised the jurisdictional argument that Washington Movers raises now, the case implies that neither the Constitution nor 18 U.S.C. § 3231 preclude the Commission from determining based on a preponderance of the evidence whether a licensee violated a statute for purposes of § 515.16(a)(1) (2015).

As to the merits of the ALJ's finding, the ALJ noted that at the time of Sam Ghanem's felonies, he was the sole owner, president, and qualifying individual of Washington Movers. *Id.* at 33. The ALJ also pointed out that Mr. Ghanem *and* Washington Movers' employees concealed weapons in the motor vehicles parts and loaded them into a container. *Id.* The ALJ further noted that Mr. Ghanem used Washington Movers' service contract with MSC to arrange for transportation of the container overseas. *Id.* According to the ALJ, Mr. Ghanem used Washington Movers "as his

¹¹ Under 18 U.S.C. § 2(a), whoever aids or abets the commission of an offense against the United States is punishable as a principal.

instrumentality to commit crimes involving unlawful smuggling of cargo and attempted export of firearms in foreign commerce.” *Id.*

Washington Movers argues that this is not enough. WM Exc. at 2, 3. It challenges the ALJ’s finding that Sam Ghanem’s conduct took place through Washington Movers, asserting that Mr. Ghanem acted alone, beyond his authority, without assistance from anyone else at Washington Movers. *Id.* at 2-3, 5. BOE counters that “[i]t has long been settled that criminal activity of corporate officers may be properly attributed to the corporate entity.” BOE Reply at 5-6. According to BOE, it is undisputed that Mr. Ghanem, as the company’s sole owner, president, and qualifying individual, had the authority to act on behalf of Washington Movers to load the container at issue, direct his employees to do so, and book the shipment in Washington Movers’ name, using its service contract and license number. *Id.*

Contrary to Washington Movers’ arguments, the record supports the ALJ’s conclusion that the company violated 18 U.S.C. § 554 and 22 U.S.C. § 2778. The former is titled “Smuggling goods from the United States” and provides that:

Whoever fraudulently or knowingly exports or sends from the United States, or attempts to export or send from the United States, any merchandise, article, or object contrary to any law or regulation of the United States, or receives, conceals, buys, sells, or in any manner facilitates the transportation, concealment, or sale of such merchandise, article or object, prior to exportation, knowing the same to be intended for exportation contrary to any law or regulation of the

United States, shall be fined under this title, imprisoned not more than 10 years, or both.

18 U.S.C. § 554(a). The latter is titled “control of arms exports and imports.” 22 U.S.C. § 2778. It sets forth a number of requirements for those exporting “defense articles” and makes it a crime for “any person” to willfully violate any provision of the statutory section or regulation issued thereunder. 22 U.S.C. § 2778(c).

The ALJ did not set forth the elements of these statutes and apply them to Washington Movers. Nor did the ALJ formally address corporate criminal liability. The ALJ pointed to Sam Ghanem’s convictions and found that “Washington Movers participated in Sam Ghanem’s criminal activities.” ALJ I.D. at 33.

But corporations can violate these statutes. 1 U.S.C. § 1 (“In determining the meaning of any Act of Congress, unless the context indicates otherwise -- . . . the words ‘person’ and ‘whoever’ include corporations . . . as well as individuals.”); *see, e.g., Casanova Guns*, 454 F.2d at 1321 (noting that corporation was a “convicted felon”). A corporation “is liable for the criminal acts of its employees and agents done within the scope of their employment with the intent to benefit the corporation.” *United States v. Singh*, 518 F.3d 236, 249 (4th Cir. 2008) (quoting *Mylan Lab., Inc. v. Akzo, N.V.*, 2 F.3d 56, 63 (4th Cir. 1993)).¹² “Scope of employment” includes “all those acts falling within the employee’s or agent’s general line of work, when they are motivated – at least in part – by an intent to benefit the corporate employer.” *Singh*, 518 F.3d at 249 (citing *United*

¹² Additionally, under Commission regulations, a licensed OTI is “strictly responsible for the acts or omissions of any of its employees or agents rendered in connection with the conduct of its business.” 46 C.F.R. § 515.4(b)(2) (2015).

States v. Automated Med. Labs., 770 F.2d 399, 406-07 (4th Cir. 1985)).

To act within the scope of employment, the employee's acts must be the kind he or she is authorized to perform and must occur substantially within the authorized limits of time and space. *Zavala v. Wal-Mart Stores Inc.*, 691 F.3d 527, 543 (3d Cir. 2012) (quoting Prosser, Torts 351 (1955)). As for the "intent to benefit the corporate employer" criterion, its purpose is to "insulate the corporation from criminal liability for actions of its agents which be *inimical* to the interest of the corporation or which may have been undertaken solely to advance the interest of that agent or of a party other than the corporation." *Automated Med. Labs.*, 770 F.2d at 407; *see also United States v. DSD Shipping, AS*, Case No. 15-cr-00102-CG, 2016 U.S. Dist. LEXIS 46413, at *15-16 (Apr. 6, 2016) (noting that corporation would not be strictly liable for actions such as bribes paid to officers personally). But "scope of employment is the operative element, with corporate purpose/authority, and/or benefit providing context for that term." *United States v. Ionia Mgmt. S.A.*, 526 F. Supp. 2d 319, 324 (D. Conn. 2007).

Here, the unchallenged facts support imputing liability to Washington Movers. From the time of Washington Movers' incorporation until January 1, 2014, Sam Ghanem was not a mere employee, he was the company's president, sole shareholder, and qualifying individual, in addition to being a director. ALJ I.D. at 2, 17, 19. Washington Movers continued to employee Sam Ghanem, and he continued to act on the corporation's behalf, after his arrest and after his resignation as president and transfer of shares to his wife. ALJ I.D. at 24.

Moreover, the acts for which Sam Ghanem was convicted were done within the scope of his employment. Washington Movers was licensed to act as a freight forwarder and a non-vessel-operating common carrier, meaning it is in the business of dispatching shipments, handling freight, booking space, arranging for warehouse storage, preparing documents, giving expert advice to exporters, and purchasing transportation services. 46 C.F.R. § 515.2(i), (l), (o) (2015). In its application for an OTI license, Washington Movers stated that its business activities included “household goods movers” and “storage facility.” BOE Ex. 36 at ix. In that application, Washington Movers certified that as of 2003, Sam Ghanem had five years of OTI experience. *Id.*

Given that Sam Ghanem was the president and qualifying individual for an OTI, his criminal acts – loading the shipping container, arranging for its transport, directing Washington Movers’ employees, using a Washington Movers facility and service contract, providing expert shipping advice to the informant, handling monies advanced by the informant for shipment, – were well within the scope of his general line of work. *See* Hr’g Tr. at 6 (noting that a president’s duties include “[e]verything needs to be done”); *see also id.* (describing president’s duties such as “overlooking documentation, rates with ship lines, wire transfer with banks, communications with customers, booking with ship lines, dock receipts master”). And, as the ALJ noted, “[a]s sole stockholder and officer of Washington Movers, Sam Ghanem’s scope of work for Washington Movers was what he wanted it to be.” ALJ I.D. at 35.

Washington Movers’ assertion that “Mr. Ghanem acted beyond the scope of his authority,” WM Exc. at 2, is unsupported by any facts or argument, and is contradicted by the ALJ’s findings,

which Washington Movers has not challenged. Further, Mr. Ghanem's criminal activities were not outside the scope of his employment because, as Washington Movers argues, his "alleged criminal conduct took place on Saturday, December 21, 2013, when Washington Movers was closed for business." WM Exc. at 5; *see also* Hr'g Tr. at 16 (noting that Washington Movers is closed on Saturdays). Activity on a Saturday is "substantially within the authorized limits of time and space" of Mr. Ghanem's employment, especially given that as company president, he presumably set Washington Movers' hours. *See United States v. Carter*, 311 F.2d, 934, 942 (6th Cir. 1963) (imputing criminal responsibility to corporation based on conduct of president because president, as "chief executive officer" had the "general supervisory authority that attends such office" and because "[a]side from his implied authority as president, he was, in fact, the one who ran the company").

The evidence also indicates that Sam Ghanem acted, at least in part, with the intent to benefit his corporation Washington Movers. By agreeing to ship weapons overseas, Mr. Ghanem was furthering Washington Movers' business. *See, e.g., Standard. Oil Co. v. United States*, 307 F.2d 120, 128 (5th Cir. 1962) ("If it is done with a view of furthering the master's business, of doing something for the master, then the expectation or hope of a benefit, whether direct or indirect, makes the act that of the principal."); *see also id.* at 128-29.¹³ While there is some evidence that Mr. Ghanem himself

¹³ The affidavit supporting Sam Ghanem's criminal complaint states that he charged the informant \$500 per vehicle for dismantling the vehicles and loading the shipping container and \$3000 for shipping the vehicles. BOE Ex. 1, Aff. at 6. Ghanem also asked the informant to pay him \$3,000 for the cost of purchasing salvaged vehicles, which the informant "deposited into Ghanem's bank account." *Id.*

benefited from the smuggling scheme -- he arranged to purchase some weapons from the informant in exchange for a vehicle, BOE Ex. 1, Aff. at 5, 7, 8 – an agent may act for his own benefit while also acting for the corporation's. *Automated Med. Labs.*, 770 F.2d at 407. Further, Mr. Ghanem's conduct here was a continuation or escalation of, not a departure from, the work he performed as president of Washington Movers. Cf. Restatement (Third) of Agency § 7.07(2) (2006) ("An employee's act is not within the scope of employment when it occurs within an independent course of conduct not intended by the employee to serve any purpose of the employer."); see also *id.* at cmt. b ("An independent course of conduct represents a departure from, not an escalation of, conduct involved in performing assigned work or other conduct that an employer permits or controls."). Mr. Ghanem was not, for instance, attempting to act to Washington Movers' detriment by stealing from or cheating the company.¹⁴ *Standard Oil Co.*, 307 F.2d. at 129.

Because Mr. Ghanem was acting within the scope of his employment with the intent to benefit Washington Movers when he violated 18 U.S.C. § 554 and 22 U.S.C. § 2778, Washington Movers is liable for violating these statutes as well. Accordingly, we affirm the ALJ's determination that Washington Movers violated statutes related to carrying on the business of an ocean transportation intermediary.

¹⁴ That Washington Movers might be harmed by being held responsible for Mr. Ghanem's conduct does not exculpate it from liability. *E.g.*, *J.C.B. Super Markets v. United States*, 530 F.2d 1119, 1122 (2d Cir. 1976) ("Presumably no tortious act by an agent redounds to the benefit of the principal where the latter is held responsible for the damage which results. Yet if this reasoning were followed no principal would ever be liable.").

b. *Unapproved Name Change*

The ALJ also concluded that Washington Movers violated 46 C.F.R. § 515.18(a)(5) (2015) by failing to notify the Commission of its corporate name change in 2008. ALJ I.D. at 34, 39. Washington Movers does not challenge this determination,¹⁵ and we affirm it.

The regulation provides that “[a]ny change in a licensee’s name” requires “prior approval of the Commission.” 46 C.F.R. § 515.18(a)(5) (2015). It is undisputed that Washington Movers, Inc. changed its name to “Washington Movers International, Inc.” as of November 7, 2008. ALJ I.D. at 2, 18. It is also undisputed that Washington Movers did not seek prior approval from the Commission by filing the appropriate form as required by § 515.18(a)(5) (2015). *Id.* It was not until November 2, 2015 – seven years after the fact – that Washington Movers sought approval of its name change. ALJ I.D. at 37; 11/02/2015 Ltr. from Washington Movers to BCL.¹⁶ Washington Movers thus violated a “Commission order or regulation related to carrying on the business of an ocean transportation intermediary” for purposes of 46 C.F.R. § 515.16(a)(1) (2015).

c. *Failure to Notify Commission of Criminal Proceedings*

¹⁵ Washington Movers’ arguments that it made good faith efforts to comply with Commission regulations and that revocation is too harsh a result are addressed below in Part II.C.

¹⁶ Although this letter does not appear to be part of the record, we take official notice of it under 46 C.F.R. § 502.226(a) as it is from the Commission’s files.

In addition, the ALJ held that Washington Movers violated 46 C.F.R. § 515.12(d) (2015) by failing to notify the Commission of Sam Ghanem’s arrest, indictment, conviction, and sentencing. ALJ I.D. at 34, 39. Washington Movers does not challenge this holding. We affirm the ALJ’s determination that Washington Movers violated § 515.12(d) (2015) by not notifying the Commission of Sam Ghanem’s conviction. We vacate the determination as to Mr. Ghanem’s arrest, indictment, and sentencing because Washington Movers was not obligated to notify the Commission of those events.

The relevant regulation requires a licensee to submit “an amended FMC-18 Rev. advising of any changes in the facts submitted in the original application, within thirty (30) days after such change(s) occur.” 46 C.F.R. § 515.12(d) (2015). In Washington Movers’ original application for an OTI license in 2003, the company submitted that none of its partners, officers, directors, stockholders, or proposed qualifying individual had ever “been convicted for a crime, other than traffic violations.” BOE Ex. 36 at ix. It is undisputed that this fact changed in 2015 when Sam Ghanem was convicted of two felonies. ALJ I.D. at 19. And it is further undisputed that Washington Movers did not file an amended FMC-18 within 30 days of Mr. Ghanem’s conviction. *Id.* Washington Movers therefore violated 46 C.F.R. § 515.12(d) (2015), which is a “Commission order or regulation related to carrying on the business of an ocean transportation intermediary” for the purposes of 46 C.F.R. § 515.16(a)(1) (2015).

But Washington Movers’ original license application did not ask about arrests, indictments, or sentencing. BOE Ex. 36 at ix.¹⁷ As a consequence, Washington Movers was not required to notify the

¹⁷ In contrast, the Commission’s current form FMC-18 asks whether an applicant’s partners, officers, directors, stockholders, or proposed qualifying individual has ever been “arrested, charged, [or] convicted of” a crime. See <https://www.fmc.gov/assets/1/Page/FormFMC-18worksheet.pdf>.

Commission of these events via an amended FMC-18 form under § 515.12(d) (2015). In holding otherwise, the ALJ erred.

2. Not Qualified to Render OTI Services [46 C.F.R. § 515.16(a)(4) (2015)]

We also affirm the ALJ’s conclusion that grounds for revoking Washington Movers’ OTI license exist under 46 C.F.R. § 515.16(a)(4) (2015). ALJ I.D. at 33-34, 39. That regulation provides that the Commission may revoke or suspend a license “[w]here the Commission determines that the licensee is not qualified to render intermediary services.” To be qualified to render OTI services, an OTI must possess the necessary experience and character. *See* 46 C.F.R. §§ 515.11, 515.14(a) (2015); 46 U.S.C. § 40901(a) (requiring a licensee to be “qualified by experience and character”). The experience and character of a corporate OTI are based on that of its qualifying individual, who must be an active corporate officer. 46 C.F.R. § 515.11(b)(3) (2015). To be sufficiently experienced, an OTI’s qualifying individual must have a minimum of three years’ experience in ocean transportation intermediary activities in the United States. 46 C.F.R. § 515.11(a)(1) (2015). As for character, the regulations state that an OTI and its qualifying individual must have the character necessary to render ocean transportation intermediary services. 46 C.F.R. §§ 515.11(a)(1), 515.13(c) (2015).

Further, when considering whether an applicant is qualified for a license, the Commission looks at:

- a. The accuracy of the information submitted in the application;
- b. The integrity and financial responsibility of the applicant;
- c. The character of the applicant and its qualifying individual; and
- d. The length and nature of the qualifying individual’s experience in handling ocean transportation

intermediary duties.

46 C.F.R. § 515.13 (2015).

The ALJ concluded that “Washington Movers’ participation in [Sam Ghanem’s] felonies reflects directly upon Washington Movers’ continued fitness and character to conduct business as an OTI.” ALJ I.D. at 33-34; *see also id.* at 39. Washington Movers contends that “Norma Ghanem and Washington Movers, then and now, remain unimpeachable.” WM Exc. at 5. It also argues that the Commission cannot take away Washington Movers’ OTI license solely due to Sam Ghanem’s conduct. WM Exc. at 3-5. Washington Movers further maintains that it has a “property interest” in its OTI license and that therefore the Commission cannot revoke it due to Sam Ghanem’s conduct. *Id.* at 3-4. BOE in contrast argues that the ALJ properly revoked Washington Movers’ license based on Sam Ghanem’s convictions and disputes the “property interest” argument. BOE Reply at 5-7.

We agree with the ALJ that Washington Movers is not qualified to render intermediary services under § 515.16(a)(4) (2015) because it lacks the necessary character to render ocean transportation intermediary services.¹⁸ As an initial matter, the ALJ did not revoke Washington Movers’ license solely due to Sam Ghanem’s conduct. ALJ I.D. at 33, 34, 35, 36. Washington Movers itself failed to seek prior Commission approval of its name change and failed to notify the Commission of Sam Ghanem’s convictions, thereby violating agency regulations. The violation of the name change regulation continued for years, both before and after Norma Ghanem assumed ownership and control of Washington Movers in 2014. ALJ I.D. at 18. Although Sam Ghanem and, later, Norma Ghanem, controlled Washington Movers, it was the corporate licensee’s obligation to comply with the regulations. *Cf. Crocus*

¹⁸ Washington Movers’ experience is not at issue in this proceeding. No one disputes that Sam Ghanem has the requisite OTI experience.

Investments, LLC v. Marine Transp. Logistics, Inc., 34 S.R.R. 582, 590 (FMC 2017) (noting that “corporations can only act through individuals”). The purported transfer of ownership and control of Washington Movers from Sam Ghanem to Norma Ghanem does not exculpate the corporation from its conduct. ALJ I.D. at 36; cf. *Casanova Guns*, 454 F.2d at 1323 (affirming denial of license renewal where applicant corporation was created to circumvent licensing restrictions and was controlled by felon corporation).

Moreover, regardless of whether Washington Movers vicariously violated criminal statutes, the uncontroverted facts show that it participated in the commission of felonies. Despite Washington Movers’ claim now that Sam Ghanem acted independent of the company, WM Exc. at 3, the ALJ found, and Washington Movers does not dispute, that “[o]n December 21, 2013, at the *Washington Movers facility*, Sam Ghanem and *Washington Movers employees*” concealed weapons in a container. ALJ I.D. at 18 (emphasis added). Washington Movers was identified as the exporter, and the booking was made under Washington Movers’ service contract. ALJ I.D. at 18, 24.¹⁹

Turning to the character of Washington Movers’ qualifying individual, no one disputes that Sam Ghanem committed felonies. The character of Sam Ghanem is imputable to Washington Movers. 46 C.F.R. § 515.11(b) (2015). These crimes – smuggling and attempted unlawful export of defense articles – indisputably relate to ocean transportation intermediary services.

¹⁹ Washington Movers’ statement that “[e]ven the administrative court concludes that Sam Ghanem’s conduct did not take place ‘through Washington Movers’” is incorrect. WM Exc. at 5. Rather, the ALJ corrected a previous finding that erroneously said that Sam Ghanem was indicted for smuggling weapons “through Washington Movers.” ALJ I.D. at 27. The ALJ pointed out only that the indictment did not use the “through Washington Movers” language. *Id.*

Washington Movers and Mr. Ghanem’s conduct renders the former unqualified to render OTI services under Commission precedent. See *Falcon Shipping*, 32 S.R.R. at 384 (denying OTI application for lack of requisite character because, among other things, individual violated the Shipping Act and was involved in an illegal scheme and deceptive practice); *Stallion Cargo, Inc.*, 29 S.R.R. 665, 683-84 (FMC 2001) (finding licensee lacked necessary character due to Shipping Act violations); *Indep. Freight Forwarder License E.L. Mobley, Inc.*, 21 F.M.C. 845, 847 (FMC 1979) (finding that forgery reflected on fitness); *Independent Ocean Freight Forwarder Application Lesco Packing Co.*, 19 F.M.C. 132, 137 (FMC 1976); *Harry Kaufman – Independent Ocean Freight Forwarder License No. 35*, 16 F.M.C. 263, 271, 276-77 (Examiner 1972).

Washington Movers’ “property interest” argument is unpersuasive. Regardless of whether an OTI license constitutes a property interest, the Shipping Act allows the Commission to revoke a license on finding that a licensee is unqualified, and the regulations allow the Commission to take into account the character of a qualifying individual such as Sam Ghanem. 46 U.S.C. § 40903(a)(1); 46 C.F.R. §§ 515.11(a)(1), (b); 515.13 (2015); *Falcon Shipping*, 32 S.R.R. at 384; ALJ I.D. at 17. Further, the cases Washington Movers relies on are inapposite, as they do not involve revocation or denial of a corporation’s license where a corporate officer used the corporation to commit felonies. As noted above, in *Harris News Agency*, the court held that the ATF could not deny a corporation a license due to a corporate officer aiding and abetting a crime absent a showing that the officer affirmatively helped in the commission of the offense. *Harris News Agency*, 809 F.3d at 413-14. It did not hold, as Washington Movers implies, that “[t]he law forbids prosecuting a person and taking away that person’s property for another person’s conduct.” WM Exc. at 3-4. Neither did the court in *United States v. Lester*, 85 F.3d 1409 (9th Cir. 1996). Rather, the court said that the government could not use the ‘substitute property’ provision in the criminal forfeiture statute, 21 U.S.C. § 853(p), to seize an innocent spouse’s interest in community property because

the statute expressly said that only the property of the defendant spouse could be forfeited. *Id.* at 1411, 1415. The Shipping Act, in contrast, does not expressly state that a corporate OTI's license may be revoked only due to the conduct of the corporate entity itself.

Finally, insofar as Washington Movers is arguing that revoking its license interferes with the property rights of Norma Ghanem, “an innocent spouse,” the argument is without merit. The license at issue is Washington Movers,’ not Norma Ghanem’s. As Washington Movers itself notes, it is a distinct entity from the Ghanems. WM Exc. at 3. The Commission issued License No. 017843 to the corporation, not Sam Ghanem or Norma Ghanem. *See, e.g.*, 46 C.F.R. § 515.14(b) (2015) (“The Commission will issue a license only in the name of the applicant, whether the applicant is a sole proprietorship, a partnership, or a corporation.”). Because the license is the corporation’s, revoking it does not implicate any property of Norma Ghanem.

C. Appropriate Sanction

Having found that grounds to suspend or revoke Washington Movers’ OTI license exist under 46 C.F.R. § 515.16(a)(1) and (4) (2015), the next question is what the appropriate sanction should be. The regulations give the Commission discretion to suspend or revoke a license. 46 C.F.R. § 515.16(a) (2015). *Stallion Cargo*, 29 S.R.R. at 683 (“[T]he Commission has considerable discretion in determining appropriate sanctions and remedies but should take care to ensure that the penalties are tailored to the particular facts of each case.”). That discretion is not, however, unfettered. Sanctions are remedial in purpose, and the goal is to protect the shipping public from those who choose not to comply with the Shipping Act’s licensing requirements. *E.L. Mobley*, 21 F.M.C. at 847; *Stallion Cargo*, 29 S.R.R. at 683-84. They should not be punitive in character. *E.L. Mobley*, 21 F.M.C. at 847. Consequently, license revocation is used only in the most egregious instances. *Stallion Cargo*, 29 S.R.R. at 683-84; *see also In re Ocean Transp. Intermediary License of Apparel Logistics, Inc.*, 30 S.R.R. 567, 570

(FMC 2004) (“Prior decisions have held that revoking or suspending an OTI license should be limited to the most egregious circumstances, such as OTIs violating the Shipping Act or Commission regulations, committing other federal offenses, or materially misrepresenting information regarding their qualifications.”). Even when a violation is clear, “[e]vidence of mitigation will be considered in tailoring the sanctions to the facts of the specific case.” *E.L. Mobley*, 21 F.M.C. at 847.

The ALJ found that license revocation was warranted. ALJ I.D. at 38-39. Although the ALJ found that Sam Ghanem was the chief malefactor, and that Norma Ghanem was not involved in his crimes and did a commendable job handling Washington Movers’ shipments once Mr. Ghanem was arrested, the ALJ nonetheless concluded that Sam Ghanem continued to function as an integral part of the business after his smuggling arrest. *Id.* The ALJ also noted that once Norma Ghanem became president and sole owner of Washington Movers, the corporation continued to violate Commission regulations by not seeking approval for its name change and by failing to notify the Commission of Sam Ghanem’s conviction.

On exceptions before the Commission, Washington Movers argues that “revoking [its] license for failure to notify the Commission of its name change and Sam Ghanem’s conviction is disproportionate to any offense by Washington Movers.” WM Exc. at 6. It cites *United States v. Weimert*, 819 F.3d 351 (7th Cir. 2016), and asserts that “[a]t the heart of this case, Washington Movers’ license is in jeopardy because of Sam Ghanem’s *ultra vires* criminal conduct” and that “no previous licensee has had its license revoked for failing to notify the FMC of its name change.” *Id.* Revocation is limited, Washington Movers argues, to instances where a licensee demonstrates no intent at future compliance. *Id.* at 6-7. Washington Movers also implies that mitigating circumstances exist, namely, that Norma Ghanem is an innocent spouse uninvolved in any criminal activity, that Washington Movers in good faith attempted to comply with Commission regulations, and that the public is not

protected by denying Norma Ghanem the ability to ship household goods, car parts, and wheelchairs. *Id.* at 5-6.

BOE counters that there is ample reason to revoke Washington Movers' OTI license, including Washington Movers' regulatory violations and Sam Ghanem's criminal convictions. BOE Reply at 12. According to BOE, there "is no hierarchy of importance attached to the OTI regulations or violations thereof whereby some violations are deemed more significant than others" and there is no difference between technical and non-technical violations. *Id.* BOE contends that Washington Movers' argument that it would be disproportionate to revoke a license for a name change violation misstates the ALJ's holding. *Id.* at 11. BOE further maintains that Washington Movers' claim of good faith is untenable. *Id.* at 8.

Although mitigating circumstances exist, we affirm the revocation of Washington Movers' OTI license. Washington Movers' argument that it would be disproportionate to revoke a license due to a name change violation is meritless. The ALJ revoked Washington Movers' license because of multiple violations of statutes and Commission regulations related to carrying on OTI business and because Washington Movers lacked the necessary character to be qualified to render OTI services. ALJ I.D. at 33, 34, 39.²⁰

Also unpersuasive is BOE's suggestion that the Commission may revoke a license for violation of any Commission regulation regardless of its practical effect. While 46 C.F.R. § 515.16(a)(1)

²⁰ *United States v. Weimert*, cited by Washington Movers, is not on point. There, the issue was whether the defendant's conduct amounted to federal wire fraud. 819 F.3d at 353-54. The court reasoned that while wire fraud is a broad tool, the statute must have limits other than simply prosecutorial discretion. *Id.* at 370. Here, the Commission's discretion is not unbridled, as it considers the nature and extent of a licensee's conduct and mitigating factors.

(2015) permits suspension or revocation of a license for violation of a regulation, and *Apparel Logistics* included violating a regulation in a list of “egregious” circumstances, 30 S.R.R. at 570, treating any regulatory violation as justifying revocation would ignore the principle that penalties should be tailored to the facts of individual cases. *E.g.*, *Stallion Cargo*, 29 S.R.R. at 683, 684 (revoking a license where respondent committed 167 knowing and willful violations and continued to violate the Shipping Act after it learned of its violations and after the Commission initiated an investigation). Rather, in light of the parties’ arguments, we consider the nature and extent of Washington Movers’ conduct giving rise to suspension or revocation, Washington Movers’ good faith and likelihood of complying with Commission regulations in the future, and Norma Ghanem’s character and association with Sam Ghanem.

The nature and extent of Washington Movers’ conduct weighs heavily in favor of revocation. First, felony weapons smuggling constitutes egregious conduct that cuts to the core of ocean transportation intermediary services. Second, Washington Movers’ failure to obtain Commission approval before changing its name risked confusing the public and making Commission regulatory efforts more difficult.²¹ Moreover, it appears that Norma Ghanem purposefully chose not to notify the Commission of the company’s change of ownership and control or to change its qualifying individual after Sam Ghanem’s 2014 arrest because she was afraid that any changes regarding the company could hurt his prospects at trial. Hr’g Tr. at 30, 31 (“[H]onestly, any changes I make in 2014, I was scared that they will use it against him in court. Any changes. He was awaiting for his trial.”). Third, Washington Movers’ failure to notify the Commission of Sam Ghanem’s conviction would not likely, taken alone, warrant revocation. By the time of his conviction, the Commission was well aware of Mr. Ghanem’s legal troubles. But the failure to notify violation, along

²¹ The seriousness of this regulatory violation is mitigated somewhat because “Washington Movers, Inc.” is not greatly different than “Washington Movers International, Inc.”

with the name change violation, are indicative of ignorance or disregard of Washington Movers' regulatory obligations.

Relatedly, and also weighing in favor of revocation, is that there is little reason for the Commission to be confident that Washington Movers would comply with regulations going forward. Washington Movers did not attempt to cure its failure to notify the Commission of its name change until after the Commission initiated revocation proceedings, years after the actual change. ALJ I.D. at 18; 11/02/2015 Ltr. from Washington Movers to BCL. This regulatory noncompliance existed before and continued after Norma Ghanem became president of the company.

That being said, and weighing against revocation, Washington Movers did try to comply with the name change regulation and replace Sam Ghanem as qualifying individual shortly after the Commission initiated the revocation proceeding. 11/02/2015 Ltr. from Washington Movers to BCL. That Washington Movers ultimately withdrew the application to change its qualifying individual should not be held against it, as it occurred during the pendency of the instant revocation proceeding and while Norma Ghanem was attempting to obtain a license for another company. Hr'g Tr. at 19, 27-28.

Similarly, Norma Ghanem's involvement with Washington Movers is a mark in the company's favor. There is no indication that she was involved in her husband's criminal activity. And, as the ALJ pointed out, once her husband was arrested and the company's assets were seized, she made certain to locate shipments en route, and used life insurance, her children's tuition money, and proceeds of selling personal property to make sure the cargo was released. ALJ I.D. at 3-4, 38. Moreover, there is no indication in the record that shippers complained about Washington Movers, either before or after Norma Ghanem took over.

But outweighing this, and tipping the scales in favor of revocation, is Sam Ghanem's continued involvement with

Washington Movers after his arrest for smuggling and after control of the company was ostensibly transferred to Norma Ghanem. Despite Washington Movers' purported efforts to distance itself from Sam Ghanem, he continued to work for Washington Movers and was an integral part of the business. ALJ I.D. at 38-39. He remained Washington Movers' registered agent, he handled its bank accounts, he signed its service contracts, and he signed its tax returns. ALJ I.D. at 20-25. And, as the ALJ found, and Washington Movers does not dispute, Washington Movers "made oral and written representations to third parties that Sam Ghanem was authorized to act on its behalf after January 1, 2014." ALJ I.D. at 24. On this record, we cannot assume that he would remain uninvolved with Washington Movers in the future. And given Sam Ghanem's and Washington Movers' egregious conduct, revocation of Washington Movers' ocean transportation intermediary license is appropriate.

III. CONCLUSION

We recognize the seriousness of license revocation. But, as the ALJ found, Washington Movers violated Commission regulations and its president and qualifying individual used a Commission-licensed OTI in an attempt to smuggle weapons outside the United States. Revocation is authorized by 46 C.F.R. § 515.16(a)(1) and (4) (2015), and it is appropriate under the circumstances. We therefore **REVOKE** License No. 017843 and **ORDER** Washington Movers, Inc./Washington Movers International, Inc. to cease and desist all ocean transportation intermediary activities.

By the Commission.

Rachel E. Dickon
Secretary

Acting Chairman Khouri, concurring:

I concur in the revocation of Washington Movers' License No. 017843 and the order to Washington Movers to cease and desist all OTI activities. In addition to the bases set forth in the Order, however, I would add the following reasons for revocation of the license.

The revocation is based in part on the Commission's determination that Washington Movers violated 46 C.F.R. §515.18(a)(5) (2015) by failing to notify the Commission of its corporate name change in 2008.

A far more serious failure of Washington Movers was its failure to advise the Commission that the Qualifying Individual (QI) had resigned. Washington Movers operated without a proper QI from January 1, 2014 until November 2015. Sam Ghanem transferred ownership of Washington Movers, and resigned as an officer and director, on January 1, 2014. ALJ I.D. at 19. This triggered 46 C.F.R. § 515.18(c) (2015), which requires that the FMC be notified when a QI no longer serves in a full-time active capacity, and a licensee must apply to use a new QI. Under 46 C.F.R. § 515.11(b)(3) (2015), a qualifying individual must be an active corporate officer. Washington Movers did not seek to replace Sam Ghanem as QI with Norma Ghanem until it responded to the order to show cause in November 2015. Further, as noted by the Commission's Order, the failure to notify the Commission was knowing, willful, and motivated by an improper reason – namely to conceal the matter from the court and the FMC, so as to avoid further problems during the pending federal case concerning the weapons charges.¹

This lack of a QI and failure to advise the Commission was

¹ “[H]onestly, any changes I make in 2014, I was scared that they will use it against him in court. Any changes. He was awaiting trial.” Testimony of Norma Ghanem. Hr’g Tr. at 30, 31.

not considered as grounds for revocation in the Order to Show Cause² because the Commission was unaware that Sam Ghanem had resigned as a corporate officer until after the order was issued and the company responded.³ The subsequent analysis of the case focused on the allegations in the Order to Show Cause. The Commission could have used operating without a QI, failing to inform the Commission, and failure to timely replace the QI in a timely manner as additional grounds for revoking Washington Movers QI license, and I believe it should have.

Further support for the rationale may be found in the case of *Casanova Guns, Inc. v. Connally*, 454 F.2d 1320 (7th Cir. 1972). In that case, the Treasury Department's Alcohol, Tobacco and Firearms Division denied the application for renewal of a federal firearms license by Casanova Guns, Inc. (Casanova Guns). The license was denied because of Casanova Gun's relationship with Casanova's Inc. (Casanova's), a convicted felon. The president and major stockholder of Casanova's, a general sporting goods and gun business, was Clarence Casanova. Members of his immediate family held the remaining shares. Casanova's, the corporation, was indicted in 1966 for possession of unregistered firearms and, in 1968 pleaded guilty and was fined. This conviction rendered Casanova's ineligible to renew its federal firearms license. *Id.* at 1322. Casanova Guns was organized in March 1967, subsequent to Casanova's indictment but prior to the conviction. In February 1967, Casanova Guns applied for and received a federal firearms license. *Id.*

In April 1969, Casanova Guns purchased the entire inventory of firearms from Casanova's. In exchange for the inventory, Casanova Guns gave an unsecured promissory note for

² The Order to Show Cause lists as grounds for revocation: (a) Sam Ghanem's felonies, (b) the failure to notify the Commission of the name change, and (c) the failure to notify the Commission of Ghanem's arrest, indictment, conviction, and sentencing.

³ In response, Washington Movers, for the first time, notified the Commission that Sam Ghanem had resigned as corporate officer

\$424,000. John Casanova, Clarence's son, ran Casanova Guns in the same building and used the same display area as Casanova's. Separate books were kept for the two corporations, but John, who considered himself the sole employee of Casanova Guns, was paid by Casanova's. In January 1969, Casanova Guns applied for a renewal license and the application was refused. *Id.*

The commissioner, the district court, and the Seventh Circuit Court of Appeals upheld the refusal to renew the license based on the facts, Casanova Guns was a corporate successor in interest directly related to a convicted felon, Casanova's, and that the business operations of Casanova Guns were substantially the same as the operations of its related predecessor, and the officers of Casanova Guns were the persons responsible for the operations of Casanova's. Casanova Guns was viewed as a related successor to Casanova's. *Id.*

The Court of Appeals noted that “a substantial purpose for the incorporation of Casanova Guns was the circumvention of the statute restricting the issuance of firearms licenses to convicted felons. Indeed, ... the second corporation was formed to insure the continuation of the gun business.” The court also noted that there was “a significant unity of interest between the officers and stockholders of the two corporations and the business operations were closely integrated.” While recognizing that the denial of the license renewal was a hardship on Casanova enterprises, the Court of Appeals affirmed the commissioner's and the district court's denial of Casanova Gun's firearms license. *Id.* at 1322-1333.

While Casanova was decided on the express language of the firearms licensing act, it also stands for the well settled principle that “the fiction of a corporate entity must be disregarded whenever it has been adopted or used to avoid the provisions of a statute. *Anderson v. Abbott*, 321 U.S. 349, 362-363, 64 S. Ct. 531, 88 L.Ed. 793 (1944); *Kavanaugh v. Ford Motor Co.*, 353 F.2d 710, 717 (7th Cir, 1965); *Joseph A. Kaplan & Sons, Inc. v. F.T.C.*, 121 U.S. App. D.C. 1, 347 F.2d 785, 787-788 (1965); *Ohio Tank Car. Co. v. Keith*

Ry. Equip, Co., 148 F.2d 4, 6 (7th Cir.) cert denied, 326 U.S. 730, 66 S. Ct. 38, 90 L.Ed. 434 (1945).” Id. At 1333.

As noted in the Commission’s Order, in the case before us Sam Ghanem continued to be involved in the company after his arrest for smuggling and after control of the company was ostensibly transferred to Norma Ghanem. He continued to work for and was an integral part of the business and, as noted by the ALJ, Sam Ghanem remained Washington Mover’s registered agent, he handled bank accounts, he signed its service contracts, and he signed tax returns. ALJ I.D. at 20-25. Thus, as in *Casanova*, in the case before us there continued to be a “significant unity of interest” between the two stockholders, i.e. husband and wife, as officers, employees and corporate agent authorized to handle bank accounts, bind the company by executing service contracts, and sign tax returns. It is clear from the record that the transfer of stock to Norma Ghanem was an effort to circumvent the licensing statute. For this reason, in addition to those in the Order to Show Cause, revocation of Washington Mover’s license was proper.